

[Policy Statement](#)

[Scope](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[Authorizations](#)

[Subsequent Measurement](#)

[Presentation](#)

[Financial Statement Line Items Affected](#)

[Related Documents, Tools, and Templates](#)

[Definitions](#)

[Roles and Responsibilities](#)

POLICY NUMBER: **FP-FIN-033**

IMPAIRMENT

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting of impairments of Hilton's tangible and intangible assets in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton has significant investments in tangible assets primarily related to our owned, leased and joint venture (“JV”) hotel properties along with a significant portfolio of intangible (both finite and indefinite lived) assets.

Periodically, the carrying value of both Hilton’s tangible and intangible assets must be assessed for impairment. Impairment is considered to have occurred when certain indicators of impairment are present, the asset group fails the recoverability test, and the carrying value of a long-lived asset exceeds its fair value. For intangible assets with indefinite lives and goodwill, this is deemed to have occurred simply when the carrying value exceeds its fair value.

Specific accounting guidance exists which provides steps for testing impairment of long-lived assets and intangible (finite and indefinite lived) intangibles.

SCOPE

Hilton’s tangible assets are primarily made up of, but not limited to, land, buildings, leasehold improvements and fixture, furniture and equipment (hereafter referred to in aggregate as “plant, property & equipment” or “PP&E”). Please refer to **FP-FIN-001 Fixed Asset Accounting Policy** for details on accounting for Hilton’s fixed assets. Hilton’s equity investments are primarily joint venture ownership interests in hotels. Please refer to **FP-FIN-004 Cost and Equity Method Accounting Policy** for details on accounting for Hilton’s equity and cost method investments.

Hilton’s intangible assets are primarily comprised of management and franchise contracts, lease intangibles, ROU assets from operating and finance leases, proprietary and internally developed software, its Hilton Honors guest loyalty program, acquired brands, and goodwill. Hilton’s finite-lived intangibles (i.e., management and franchise contracts, lease intangibles and ROU assets from operating leases, proprietary and internally developed software) are tested for impairment similarly to Hilton’s tangible long-lived assets. Hilton’s indefinite-lived intangible assets are subject to a different impairment testing methodology as discussed further in this policy. Please refer to the following policies for more information on accounting for specific finite-lived intangible assets:

- **FP-FIN-003 – Key Money Accounting Policy**
- **FP-FIN-007 – Accounting for Leases Policy**
- **FP-FIN-016 – Internal Use Software Accounting Policy**
- **FP-FIN-017 – Intangible Assets Accounting Policy**

Evaluating indications and measurement of impairment is a complex and subjective and requires careful consideration. This policy outlines Hilton’s approach and methodology for assessing impairment of all tangible and intangible assets.

APPLICABILITY

This policy applies to all Finance personnel as well as Real Estate Asset Management, GBCS Finance and Development.

EXCLUSIONS/ EXCEPTIONS

For guidance on reserving for accounts or notes receivable refer to Hilton’s **FP-FIN-032 – Accounts Receivable Reserve Accounting Policy** or **FP-FIN-010 Financing Receivables Policy**, respectively

For costs to obtain a contract, refer to Hilton’s **FP-FIN-037 – Costs to Obtain a Contract Accounting Policy**.

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy (“R&P”) must be notified of the following:

- 1) Appraisals or valuations obtained for owned, leased, or JV assets as well as equity interests;
- 2) Early termination of Hilton Management or Franchise Agreements with key money balances;
- 3) All proposed sales of all or part of an owned hotel or an investment in a venture or similar entity;
- 4) All proposed early terminations of leased properties or lease amendments;
- 5) All proposed sales or spinoffs of brands;

6) All proposed sales or spinoffs of Hilton's major assets or segments i.e. owned hotel properties (individual or a portfolio).

Please contact a member of the Accounting Research & Policy Group or AccountingResearchPolicy@Hilton.com.

SUBSEQUENT MEASUREMENT

a. Grouping Long-Lived Assets

For purposes of recognition and measurement of impairment, Hilton groups assets and liabilities at the lowest level for which identifiable cash flows can be identified.¹ For Hilton's the lowest level is considered to be individual hotel properties. It is at this level that Hilton will test for impairment. A hotel property can have any combination of PP&E, operating or finance ROU assets or lease intangibles within that would be tested as a single asset group

For PP&E and finance ROU assets, debt at the asset group level is excluded from the carrying amount for purposes of impairment testing. Additionally, Hilton does not deduct interest expense from the cash flows when testing for recoverability.

For operating ROU assets, the related lease liabilities shall be included in the asset group (i.e. netted with the carrying amounts of the assets of the group), and the identifiable cash flows will include associated fixed rent payments (adjusted for the portion related to accretion of the lease liability) when testing for recoverability².

Certain owned assets (i.e., owned corporate offices) or ROU assets from operating leases for corporate real estate or corporate equipment do not have separate independently identifiable cash flows aside from Hilton's total assets and liabilities. In this circumstance, Hilton evaluates these types of assets for impairment on an entity-wide level. In testing for recoverability, Hilton estimates whether Hilton as a whole will generate cash flows sufficient to recover the carrying amount of all its assets and liabilities. However, if Hilton decides to vacate an owned building and lease it to a third party, the asset would no longer be tested as an entity-wide asset. Instead, recoverability would be assessed based on the building itself and/or the identifiable cash flows associated with any lease revenue.

Separately recorded indefinite-lived intangible assets will be combined into one unit of accounting for testing impairment if they operate together as one asset and are inseparable from each other.³ Determining if individual indefinite-lived intangible assets are inseparable is based on facts and evaluated by Hilton.⁴ Indicators of combination into a single unit of accounting include:

- The intangible assets were purchased in order to construct or enhance a single asset (that is, they will be used together).
- Had the intangible assets been acquired in the same acquisition they would have been recorded as one asset.
- The intangible assets as a group represent the highest and best use of the assets (for example, they yield the highest price if sold as a group). This may be indicated if it is unlikely that a substantial portion of the assets would be sold separately or the sale of a substantial portion of the intangible assets individually would result in a significant reduction in the fair value of the remaining assets as a group.
- The marketing or branding strategy provides evidence that the intangible assets are complementary.⁵

If separate items are combined into one unit of accounting, those assets can be reevaluated depending on the change of matters and circumstances.

Goodwill is tested for impairment at the reporting unit level (i.e., OLJV, Managed and Franchise).⁶

b. Order of Impairment Testing

If goodwill and another asset (or asset group) of a reporting unit are tested for impairment at the same time, the other asset (or asset group) shall be tested for impairment prior to goodwill. For example, if a significant long-lived asset is to be tested for impairment (thus potentially triggering a goodwill impairment test), the impairment test for the significant long-lived asset should be performed before the goodwill impairment test. If the long-lived asset was impaired, the impairment loss would be recognized prior to goodwill being tested for impairment.⁷ This requirement applies to all of Hilton's assets within the scope of

¹ ASC 360-10-35-23, *Property, Plant, and Equipment, Overall, Subsequent Measurement*

² ASC 360 provides principles for evaluating long-lived assets for impairment, but does not specifically address how operating lease liabilities and future cash outflows for lease payments should be considered when performing the recoverability test. Based on a FASB technical inquiry, the FASB staff believes that a lessee would include a lease liability as part of the carrying amount of the asset group (EY FRD Lease Accounting, Section 4.2.5)

³ ASC 350-20-35-32, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

⁴ ASC 350-30-35-14, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

⁵ ASC 323-10-35-32, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

⁶ ASC 350-20-35-1, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

⁷ ASC 350-20-35-31, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

this policy and requires Hilton to complete and recognize in the carrying amount of the reporting unit all impairments prior to completing our goodwill impairment testing.⁸

c. Tangible Assets, Finite-lived Intangible Assets & Equity Method Investments

Testing of Hilton's consolidated tangible assets (i.e., property and equipment of our owned, leased and consolidated JV's), finite-lived intangible assets (i.e., management and franchise contracts, lease intangibles, ROU assets, proprietary and internally developed software) and investment balances in our unconsolidated JVs follows a three step process:

1. Consider whether impairment indicators are present;
2. Test recoverability of the asset;
3. Measure impairment.

Step 1: Assess for Indicators of Impairment

i. Qualitative Assessment

Hilton performs a quarterly assessment to identify whether any triggering events have occurred that would indicate potential impairment. Hilton considers a triggering event to be events or changes in facts and circumstances which indicate that the carrying amount of Hilton's assets may no longer be recoverable. The following are examples of triggering events, which while may be more specific to tangible assets and equity method investments, might also indicate impairment for Hilton's finite-lived intangible assets⁹:

- a. There is a significant decrease in the market price of a hotel property as demonstrated by third-party offers or appraisals;
- b. There is a significant adverse change in the extent or manner in which a hotel property is being used (or change in intended use) or in its physical condition;
- c. There is a significant adverse change in legal factors or in the business climate that could affect the value of a hotel property, including an adverse action or assessment by a regulator;
- d. There is an accumulation of costs significantly in excess of the amount originally expected for the acquisition or construction of a hotel property;
- e. There is a current period operating cash flow loss or negative Earnings Before Interest, Taxes, Depreciation and Amortization ("EBITDA") combined with a history of operating cash flow losses and negative EBITDA or a projection or forecast that demonstrates continuing deterioration in cash flows and EBITDA;
- f. There is a current expectation that, more likely than not, a hotel property will be sold or otherwise disposed of significantly before the end of its previously estimated useful life. This could be evidenced by management's expectations, an inability to back existing owed debt, or other indicators. The term more likely than not in this context means more than 50%. Please refer to **FP-FIN-012 – Assets Held for Sale and Discontinued Operations Accounting Policy** when making this determination. Careful attention must be paid to any foreign properties to be sold or otherwise disposed of.¹ Refer to the foreign properties discussion in *Step 2: Test for Recoverability* below for additional considerations.

The additional triggering events should be taken into consideration when evaluating Hilton's equity method investments for potential impairment:

- a. Evidence that the investor does not have the ability to recover the carrying amount of the investment;
- b. The inability of the investee to sustain earnings;
- c. A current fair value of the investment that is less than the carrying amount;
- d. Other investors ceasing to provide support or reduce their financial commitment to the investee.¹⁰

Note that the above listings are not all inclusive and there may exist other facts and circumstances not described above that may trigger the need for Hilton to test the recoverability of its assets. Conversely, there may be certain mitigating factors that only temporarily impact a hotel property (i.e., seasonality, renovations and other temporary disturbances to hotel operations) which also must be evaluated in contemplation with of the above facts and circumstances.

⁸ ASC 350-20-35-32, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

⁹ ASC 350-30-35-14, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

¹⁰ ASC 323-10-35-32, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

Step 2: Test for Recoverability

i. Tangible Assets (including Consolidated JVs)

Hilton tests for recoverability if impairment indications have been identified through Hilton's quarterly assessments or when other facts and circumstances indicate that the carrying amount of Hilton's assets may no longer be recoverable.

Hilton calculates a recovery period of each asset based on current EBITDA and carrying value to the remaining useful life of the property to determine if there is potential impairment. However, if the asset or the underlying property is subject to a lease (either a lease of the hotel building or a ground lease) with an expiration date earlier than the typical useful life of our owned assets, then the remaining lease term as of the testing date is utilized.

This test assists in evaluating whether impairment indicators are present and by itself, does not conclude that impairment exists. If the results above indicate a possible impairment, Hilton will then measure the potential impairment by performing an undiscounted cash flow analysis, as needed, for each hotel property.

ii. Finite-lived Intangible Assets (e.g., Amortizing Intangible Assets)

Hilton's finite-lived intangible assets utilize a similar methodology to our tangible assets in that a recovery period is first calculated and compared against the remaining useful life prior to calculating and comparing an estimated undiscounted cash flow to the carrying value. Furthermore, certain asset types require other considerations as discussed below.

OnQ and Capitalized Internal-use Software: Hilton's evaluation for OnQ and internal-use Software differs from its other intangible assets. Impairment is considered to have occurred and shall be recognized if any one of the following events or changes in circumstances occurs related to computer software being developed or currently in use as this indicates that the carrying amount may no longer be recoverable:

- a. Internal-use computer software is not expected to provide substantive service potential;
- b. A significant change occurs in the extent or manner in which the software is used or is expected to be used;
- c. A significant change is made or will be made to the software program;
- d. Costs of developing or modifying internal-use computer software significantly exceed the amount originally expected to develop or modify the software.¹¹

Equity Method Investments (Unconsolidated JVs): Hilton's approach for testing recoverability of our equity method investments (also referred to JVs) differs from the testing for tangible assets. Hilton's approach uses EBITDA to estimate the multiple inherent in recovering the carrying value of our equity method investments (referred to hereafter as "recoverability multiple").

Based on the results of the above test, Hilton identifies which equity investments have an estimated recoverability multiple greater than estimated market multiples at the date of the assessment. Market multiple estimates are determined by management through discussions with our Feasibility & Investment Analysis ("Feasibility") Team and any third party valuations received for similar hotel properties. Should the results of this assessment indicate the recoverability multiple exceeds the market multiple and Hilton believes that there is impairment to an equity method investment, Hilton measures impairment.

Note, for our foreign owned, leased, consolidated JV, and/or equity method investments to be disposed of must include as part of the property's carrying value, the portion of that property's CTA and any net investment hedge CTA when the planned sale or disposal will result in the CTA of a property to be reclassified to earnings upon execution.¹² Refer to **FP-FIN-031 – Accounting for Foreign Currency Policy** for additional details.

Additional Equity Method Investments Considerations – Other than Temporary Impairment

If factors such as a series of operating losses of an investee might signal a decrease in value of an investment that may be more than temporary, that loss will be recognized.¹³ Along with the indicators of impairment listed above, other factors that may signal that the loss in value is other than temporary include:

- The length of the time and the extent to which the market value has been less than cost;
- The financial condition and near-term prospects of the issuer, including any specific events that may influence the operations of the issuer such as changes in technology that may impair the earnings potential of the investment or the discontinuance of a segment of the business that may affect the future earnings potential;
- The intent and ability of the holder to retain its investment in the issuer for a period of time sufficient to allow for any anticipated recovery in market value.

If the investment is determined to be other than temporarily impaired, the investment will be recorded at its fair value, and the impairment is calculated as the difference between the carrying amount and the new fair value.¹⁴ Please refer the following sections below for more information on the fair value valuation and calculation of impairment.

Step 3: Measure Impairment

i. Calculate Impairment Loss

If the recoverability assessment from Step 2 indicates the carrying value of our owned, leased, or JV hotel property is no longer recoverable, Hilton calculates impairment loss as the difference between the current carrying value of the asset group at the date of the assessment and the estimated fair value.¹⁵

Hilton consults our internal Feasibility Team to assist in the determination of the owned, leased, or JV hotel property's fair value or will engage a third party external valuation specialist to obtain a fair value. Fair value is typically assessed using a discounted cash flow model which uses forecasted net operating income for the property based on the subsequent year's forecast which includes market forecasts specific to each property. The difference between the estimated fair value and the carrying value of the property at the date of assessment is the amount recognized as impairment loss with the corresponding assets carrying basis adjusted similarly. Please refer to **FP-FIN-014 – Fair Value Accounting Policy** for additional details.

Additional Equity Method Investment Considerations

Hilton must also consider whether there has been an impairment of the underlying reported fixed assets of any of our equity method investments. This assessment is determined based on JV stand-alone financial statements. Such an impairment should be reflected within the carrying value of our investments based upon Hilton's pro-rata share of the respective impairment so that any impairment to the stand-alone JV fixed assets would effectively reset the carrying value of our investment.¹⁶ Note, that the reverse of the above would not necessarily be true, as Hilton's equity investment balance in many instances exceeds the underlying carrying value of our equity in the investment as a result of a "step-up" to the equity investment balance recognized in connection with purchase accounting. Thus, a calculated impairment to the carrying value of one of our equity method JVs would not necessarily indicate the equivalent impairment should be recognized at the JV stand-alone financial level. Application of the principles above require careful consideration.

ii. Allocation of the Impairment Loss

The calculated impairment loss will only reduce the carrying amounts of the long-lived assets or assets of the relevant group. The offsetting write-down for the impairment loss of these asset balances is based on the respective property's pro-rata carrying values of the "Property and equipment, net" balance, "Operating lease ROU asset" balance and "Other intangibles, net" balance unless otherwise specifically determined.¹⁷ The adjusted carrying amount shall be its new cost basis and for assets subject to depreciation, depreciated or amortized over the remaining useful life of the asset. Restoration of a previously recognized impairment loss is prohibited.¹⁸

Illustration 1 – Impairment of a Fixed Asset

Facts:

As a part of quarterly testing for impairment, a historical geographic analytic has been set up to compare 20X6 to 20X5 EBITDA for the 6 months ended June, 30. The Americas Owned Properties and EMEA Owned Properties have been flagged as the year over year unfavorable variance was outside of the set threshold. Another property level analytic comparing 20X6 to 20X5 EBITDA for the 6 months ended June, 30 has been set up for these two regions. No individual properties were flagged from the EMEA region as no calculated unfavorable variances were outside of the set threshold. However, one property was flagged from the Americas region due to its unfavorable variance being higher than the threshold. Additionally, through meetings with Asset Management, the team is aware of bad market conditions for the region where the flagged property is located as an additional indicator. This property has been selected for the two-step testing.

¹¹ ASC 350-40-35-1, Intangibles – Goodwill and Other, Internal-Use Software, Subsequent Measurement
¹² ASC 830-30-45-13 & 15, Foreign Currency Matters, Translation of Financial Statements, Other Presentation Issues
¹³ ASC 323-10-35-31, Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement
¹⁴ ASC 323-10-35-32, Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement
¹⁵ ASC 360-10-35-17, Property, Plant, and Equipment, Overall, Subsequent Measurement
¹⁶ ASC 323-10-35-32A, Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement
¹⁷ ASC 360-10-35-28, Property, Plant, and Equipment, Overall, Subsequent Measurement
¹⁸ ASC 360-10-35-2, Property, Plant, and Equipment, Overall, Subsequent Measurement

Analysis:

The team estimates the cash flows for the hotel property using the subsequent year's budgeted EBITDA less any of the subsequent year's budgeted capital expenditures. The team then divides each property's net carrying value by the estimated cash flows to calculate the recovery period of the asset in years. The team then compares the calculated recovery period of the property to the remaining useful life to determine if there is potential impairment (in this case 5 years remaining).

Hotel in the Americas	
Budgeted EBITDA	20,000,000
Budgeted CapEx	<u>(5,000,000)</u>
Estimated Cash Flows	15,000,000
Net Book Value as of 6/30/20X6	2,000,000
Recovery Period	7.5
Years Remaining	<u>5</u>
	-2.5 Not Recoverable

The Feasibility team has provided a spreadsheet showing the current fair value of the hotel property in the Americas based on a discounted cash flow model. The estimated fair value is \$1.6M. Given that the Net Book Value as of 6/30/20X6 is \$2.0M, an impairment loss of \$0.4M will be recognized, and the carrying value of the hotel property from the Americas will be adjusted by this amount.

Conclusion:

Hilton will recognize an impairment loss of \$0.4M and record the following journal entry:

DR: Impairment Loss \$0.4M
 CR: Property and equipment, net \$0.4M

Illustration 2 – Impairment of an Equity Investment

Facts:

As a part of quarterly testing for impairment, the team met with the Asset Management team where they learn that a valuation was performed on a hotel property in Europe. Hilton has a 20% equity investment in this property in Europe. A copy of the valuation performed by a 3rd party was provided to the team. The team compared the fair value from the valuation to the net book value as of 6/30/20X6 (which was calculated as the investment balance as of 6/30/20X6 plus the debt @ equity balance as of 6/30/20X6). This property has been selected for the two-step testing.

Analysis:

The team made an assessment of Hilton's total recoverable amount in the JV which is calculated as the carrying value of our investment plus Hilton's pro-rata share of the JV's debt at fair value. The team then divides the recoverable amount by Hilton's pro-rata share of the full year estimated EBITDA to determine the recoverability multiple. Based on market conditions and management's judgement, the threshold for the multiple is 16. The calculation for the hotel in Europe yielded a multiple of 20, which was higher than the threshold. Impairment must be measured.

Hotel in Europe	
Investment Balance as of 6/30/20X6	3,000,000
Share of JV Debt at FV	<u>1,000,000</u>
Total Carrying Value	4,000,000
Fair Value Per Valuation	3,500,000
Difference	-500,000 Test

The Feasibility team has provided a spreadsheet showing the current fair value the investment of the hotel property in Europe based on a discounted cash flow model. The estimated pro-rata fair value is \$2.5M. Given that the Investment as of 6/30/20X6 is \$3.0M, an impairment loss of \$0.5M will be recognized, and the carrying value of the investment from Europe will be adjusted by this amount.

Conclusion:

Hilton will recognize an impairment loss of \$0.5M and record the following journal entry:

DR: Equity in earnings (losses) from unconsolidated affiliates	\$0.5M	
CR: Investments in Affiliates		\$0.5M

d. Indefinite Lived Intangible Assets and Goodwill

Hilton performs a quarterly assessment to monitor whether any events or changes in circumstances indicate that it is more likely than not that any of Hilton's indefinite lived intangible assets or goodwill is impaired.¹⁹ Hilton considers more likely than not to mean there is a greater than 50% chance that Hilton's assets or goodwill are impaired.^{20, 21}

Certain indications of potential impairment may result from the following events:

- There is a deterioration in general economic condition, limitations on accessing new markets, or significant fluctuations in foreign exchange rates.
- There is an adverse change in the environment in which the entity operates, including increased or unanticipated competition which could impact overall financial performance.
- There is an adverse change in legal factors or in the business climate that could affect the value of a significant asset group or reporting unit, including an adverse action or assessment by a regulator.
- There are indications of impairment that cause Hilton to conduct testing for recoverability of a significant asset group within a reporting unit.
- There is a current period operating cash flow loss or negative EBITDA combined with a history of operating cash flow losses and negative EBITDA or a projection or forecast that demonstrates continuing cash flow losses or negative EBITDA associated with the asset group or reporting unit.
- There is a current expectation that, more likely than not, a significant asset group within a reporting unit or an entire reporting unit will be sold or otherwise disposed of significantly before the end of its previously estimated useful life. The term more likely than not in this context means more than 50%.^{22, 23}

Hilton tests for impairment of its indefinite lived intangible assets and goodwill annually as of 10/1/XX.²¹ Unlike impairment testing for tangible assets and definite-lived intangible assets, impairment testing for indefinite lived intangibles and goodwill does not include a recoverability test but only compares the fair value to the carrying value. Note, testing impairment of goodwill includes an additional step as discussed below.

Hilton has the option to perform a qualitative assessment for our goodwill and indefinite lived intangible assets to determine whether it is necessary to perform the quantitative impairment test by evaluating qualitative factors to determine whether it is more likely than not that the fair value of a reporting unit or indefinite-lived intangible asset is less than its carrying value.²⁴ However, Hilton has the unconditional right to bypass the qualitative assessment for any reporting unit or indefinite-lived intangible asset in any period and proceed directly to the quantitative assessment. Hilton can resume the qualitative assessment in any subsequent period.^{23, 25}

Qualitative Assessment

In evaluating whether it is more likely than not that the fair value of a reporting unit's Goodwill is impaired, Hilton should examine certain events and circumstances. Examples of those include: macroeconomic conditions, industry and market conditions, cost factors, overall financial performance such as negative or declining cash flows, other entity specific events, or events affecting a reporting unit.²⁶

For Hilton's indefinite lived intangible assets, Hilton should assess all related events and circumstances which could affect fair value of the intangible assets. Additionally, Hilton should consider to what extent those events and circumstances could lead to an asset being more than not impaired. The following should be considered:

- Positive and mitigating events and circumstances that could affect the significant inputs used to determine the fair value of the indefinite-lived intangible asset

¹⁹ ASC 350-30-35-18, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

²⁰ ASC 350-20-35-3A, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

²¹ ASC 350-30-35-18A, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

²² ASC 350-30-35-18B, *Intangibles – Goodwill and Other, General Intangibles Other than Goodwill, Subsequent Measurement*

²³ ASC 350-20-35-3C, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

²⁴ ASC 350-20-35-2, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

²⁵ ASC 350-20-35-3B, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

²⁶ ASC 350-20-35-3C, *Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement*

- If an entity has made a recent fair value calculation for an indefinite-lived intangible asset, the difference between that fair value and the then carrying amount
- Whether there have been any changes to the carrying amount of the indefinite-lived intangible asset.²⁷

The quarterly impairment evaluation as discussed for tangible assets above is documented in Hilton's accounting files.

If Hilton determines that it is not more likely than not that the fair value of a reporting unit or indefinite-lived intangible asset is less than its carrying amount, then Hilton can skip the Quantitative Assessment described below.^{28, 29} If the qualitative assessment indicates that it is more likely than not that the fair value of a reporting unit or indefinite-lived intangible asset is less than its carrying amount or Hilton chooses to bypass the qualitative assessment, Hilton must perform the Quantitative Assessment described below.^{30, 31}

Quantitative Assessment

i. Indefinite Lived Intangible Assets

The assessment of impairment for Hilton's indefinite Lived Intangible Assets is based on a comparison of the fair value of the asset with its carrying value.³² Hilton engages external valuation specialists to perform the annual assessment of the fair value of each of Hilton's brands which existed pre-acquisition. The estimated fair value is compared to the carrying value of each of the brands as of the assessment date.

If the fair value is less than the carrying amount, Hilton measure the amount of impairment. The excess of the carrying value over the estimated fair value is recognized as an impairment loss. Reversals of previously recognized impairment losses is not allowed.³³

ii. Goodwill

Similar to that noted above, fair value of a reporting unit is compared to its carrying value, including the book value of goodwill.³⁴ Hilton engages external valuation specialists to calculate the fair value of Hilton's reporting units.

Based off of the reporting unit's calculated fair value, if it is greater than its carrying amount goodwill is not considered to be impaired.³⁵ However, if the fair value is less than the carrying amount, an impairment loss shall be recognized in an amount equal to that excess, limited to the total amount of goodwill allocated to that reporting unit.³⁶

After a goodwill impairment loss is recognized, the adjusted carrying amount of goodwill shall be its new accounting basis.³⁷ Subsequent reversal of a previously recognized goodwill impairment loss is prohibited once the measurement of that loss is recognized.³⁸

PRESENTATION

a. Tangible and Intangible Assets

Impairment losses for tangible and intangible assets are recognized within "Impairment losses" line item in Hilton's Consolidated Statement of Operations.³⁹

b. Equity Method Investments

Impairment of Hilton's equity method investments is recognized within the "Equity in earnings (losses) from unconsolidated affiliates" line item or other appropriate non-operating income (loss) line item in Hilton's Consolidated Statement of Operations. The offsetting write-down to any impairment of our equity method investments is recognized directly to our respective equity investment's "Investment in affiliates" balance in Hilton's Consolidated Balance Sheet.

²⁷ ASC 350-30-35-18C, Intangibles – Goodwill and Other, General Intangibles Other than Goodwill, Subsequent Measurement

²⁸ ASC 350-20-35-3D, Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement

²⁹ ASC 350-30-35-18E, Intangibles – Goodwill and Other, General Intangibles Other than Goodwill, Subsequent Measurement

³⁰ ASC 350-20-35-3E, Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement

³¹ ASC 350-30-35-18F, Intangibles – Goodwill and Other, General Intangibles Other than Goodwill, Subsequent Measurement

³² ASC 350-30-35-19, Intangibles – Goodwill and Other, General Intangibles Other than Goodwill, Subsequent

³³ ASC 350-30-35-20, Intangibles – Goodwill and Other, General Intangibles Other than Goodwill, Subsequent

³⁴ ASC 350-20-35-4, Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement

³⁵ ASC 350-20-35-6, Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement

³⁶ ASC 350-20-35-8, Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement

³⁷ ASC 350-20-35-12, Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement

³⁸ ASC 350-20-35-13, Intangibles – Goodwill and Other, Goodwill, Subsequent Measurement

³⁹ ASC 360-10-35-17, Property, Plant, and Equipment, Overall, Subsequent Measurement

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Recognition of impairment on PP&E and Finance ROU assets	- Property and equipment, net (credit)	- Impairment Loss (debit)	- Operating Activities (as a reconciling item)
Recognition of impairment on Operating ROU assets	- Operating lease right-of-use asset (credit)	- Impairment Loss (debit)	- Operating Activities (as a reconciling item)
Recognition of other than temporary impairment for equity method investment	- Investment in affiliates (credit)	- Equity in earnings (losses) from unconsolidated affiliates (debit) or other appropriate non-operating income (loss) line item	- Operating Activities (as a reconciling item)
Recognition of impairment of Goodwill	- Goodwill (credit)	- Impairment Loss (debit)	- Operating Activities (as a reconciling item)
Recognition of impairment on Intangible Assets	- Brands or Management franchise contracts, net or Other intangible assets, net (credit)	- Impairment Loss (debit)	- Operating Activities (as a reconciling item)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-001 – Fixed Asset Accounting Policy](#)

[FP-FIN-003 – Key Money Accounting Policy](#)

[FP-FIN-004 – Cost and Equity Method Accounting Policy](#)

[FP-FIN-007 – Accounting for Leases Policy](#)

[FP-FIN-012 – Assets Held for Sale and Discontinued Operations Accounting Policy](#)

[FP-FIN-014 – Fair Value Accounting Policy](#)

[FP-FIN-016 – Internal Use Software Accounting Policy](#)

[FP-FIN-017 – Intangible Assets Accounting Policy](#)

[FP-FIN-031 – Accounting for Foreign Currency Policy](#)

TERM/ACRONYM	DEFINITION
Asset Group	An asset group is the unit of accounting for a long-lived asset or assets to be held and used, which represents the lowest level for which identifiable cash flows are largely independent of the cash flows of other groups of assets and liabilities.
Impairment	Impairment is the condition that exists when the carrying amount of a long lived asset (asset group) exceeds its fair value.
Intangible Asset Group or Class	A group of intangible assets that is similar, either by their nature or by their use in the operations of an entity. For example, Hilton has a carrying value assigned to Hilton's intangible "Management Contract" asset. The value was based on a discounted cash flow evaluation for Hilton's pre-acquisition contracts and represents the estimated fair value.
Operating Segment	A component of a public entity that has all of the following characteristics: 1) It engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same public entity). 2) Its operating results are regularly reviewed by the public entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance. 3) Its discrete financial information is available.
Reporting Unit	The level of reporting at which goodwill is tested for impairment. A reporting unit is an operating segment or one level below an operating segment (known as a component) Hilton's three operating segments comprise our entire business enterprise and relate to hotel ownership, management and franchise, and timeshare. Each segment is managed separately because of its distinct economic characteristics and the operating results of each is separately reported and reviewed by management.
Useful Life	The period over which an asset is expected to contribute directly or indirectly to future cash flows.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to AccountingResearchPolicy@Hilton.com	The email represents the Accounting Research & Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research & Policy team or the listed e-mail.